

Mafia and Public Spending: Evidence on the Fiscal Multiplier from a Quasi-Experiment

pau, fer, y teo

Abstract

Introduction

Literature Review

Data and descriptive Statistics

importamos la bd

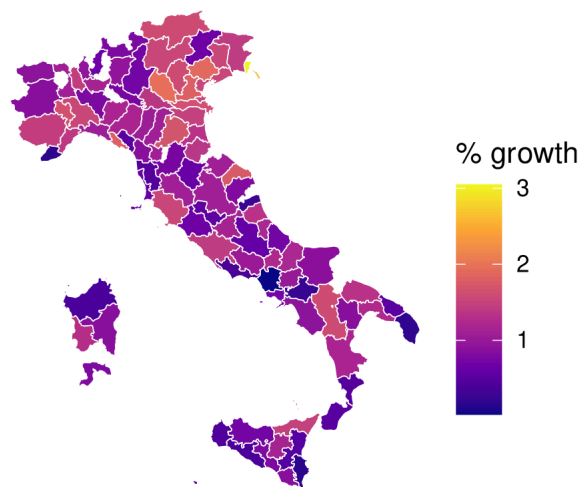
Limpiamos la bd

Descriptivas :)

Vari- able	Description	Mean	SD	Min	Max
y	% growth of real per-capita value added	1.050	2.414	-9.721	9.449
g	Variation of per-capita public investment / lagged GDP	-0.067	1.277	-9.920	10.138
cd	Municipalities under external commissioners	0.005	0.051	0.000	1.209
cds1	Same as cd (decree in first semester)	0.002	0.023	0.000	0.576
cds2	Same as cd (avg days < 180)	0.003	0.040	0.000	1.209
u1	Change in log per-capita employment	-0.110	0.390	-2.137	1.469
u2	Change in log per-capita hours of unemployment insurance	-0.005	0.036	-0.169	0.106
mafiosi	1st diff. of mafia-type association reports	0.003	0.124	-1.162	1.253
mur- der	1st diff. of mafia-related murder reports	0.000	0.009	-0.155	0.144

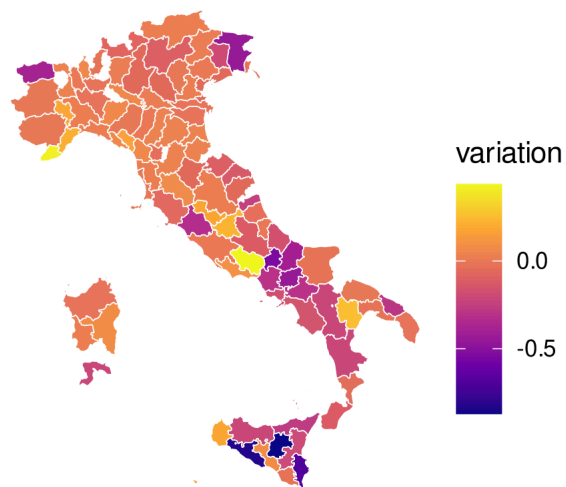
Mapas

GDP per capita growth (y)



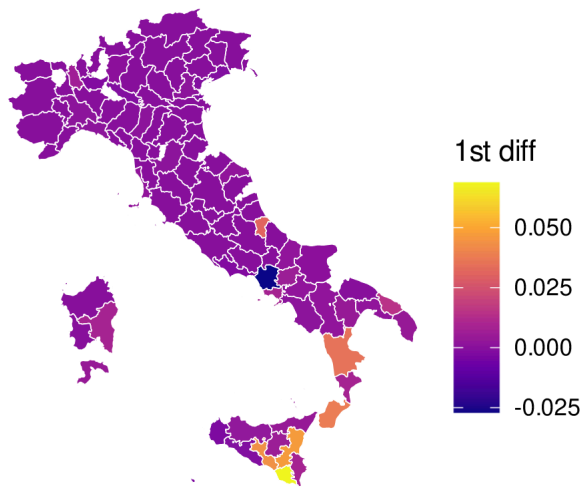
Source: Mafia dataset (pder). Average 1986-1999.

Public Spending variation (g)



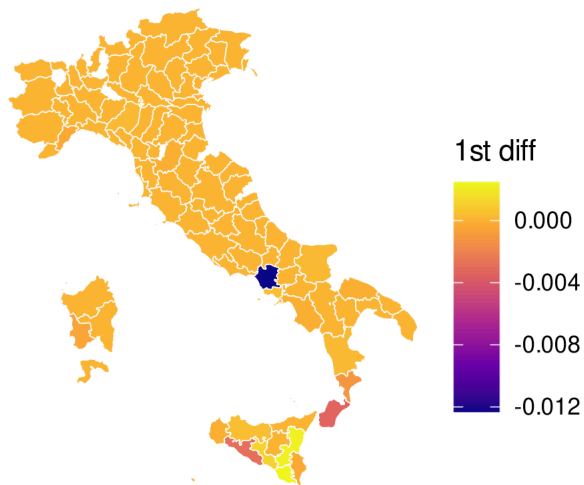
Source: Mafia dataset (pder). Average 1986-1999.

Mafia activity (mafiosi)



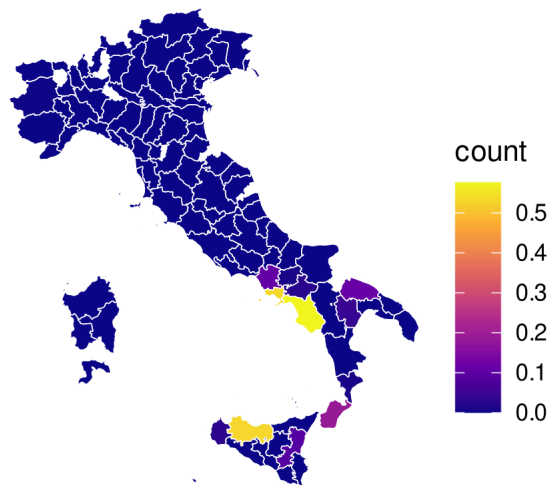
Source: Mafia dataset (pder). Average 1986-1999.

Mafia-related murders



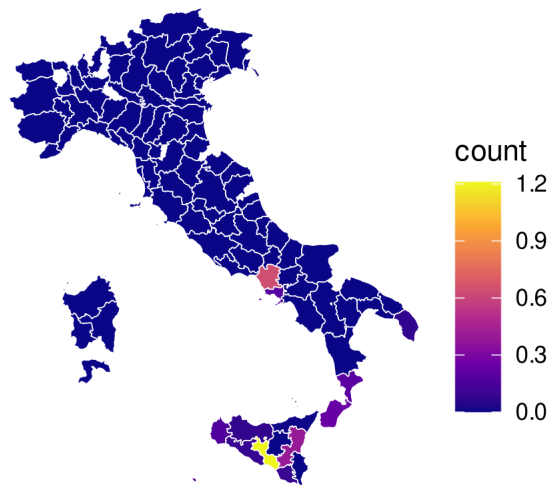
Source: Mafia dataset (pder). Average 1986-1999.

Municipalities under commissioners (cds1)



Source: Mafia dataset (pder). Average 1986-1999.

Municipalities under commissioners (cds2)



Source: Mafia dataset (pder). Average 1986-1999.

Matriz de pesos

Test de Moran para autocorrelación espacial

Moran I test under randomisation

```
data: italy_mafia$y
weights: italy_W
```

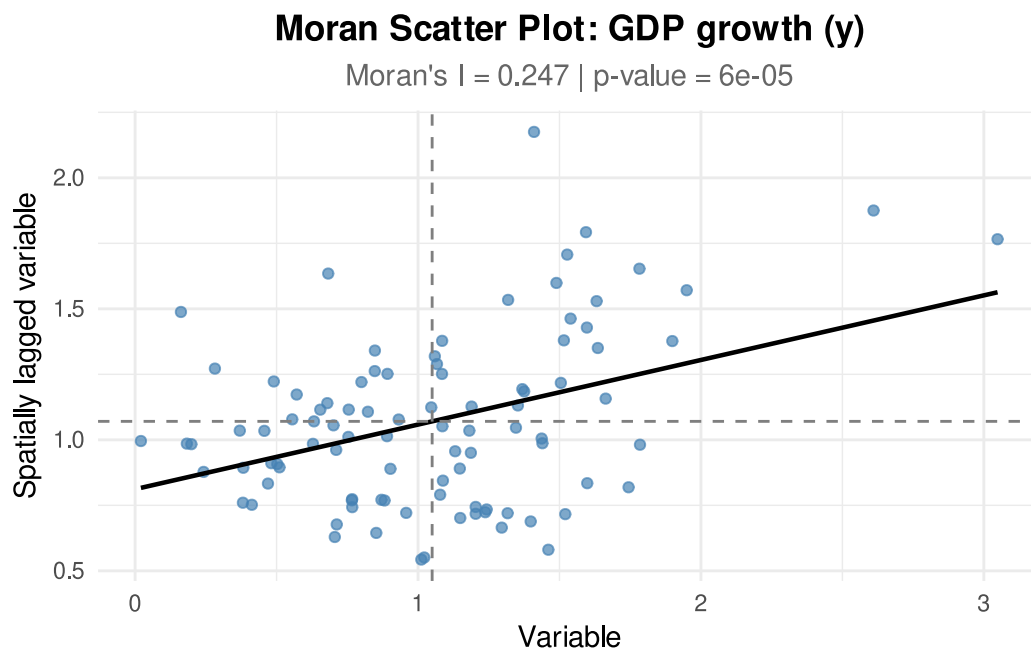
```
Moran I statistic standard deviate = 3.8462, p-value = 5.999e-05
alternative hypothesis: greater
sample estimates:
Moran I statistic      Expectation      Variance
      0.246575985      -0.010638298      0.004472314
```

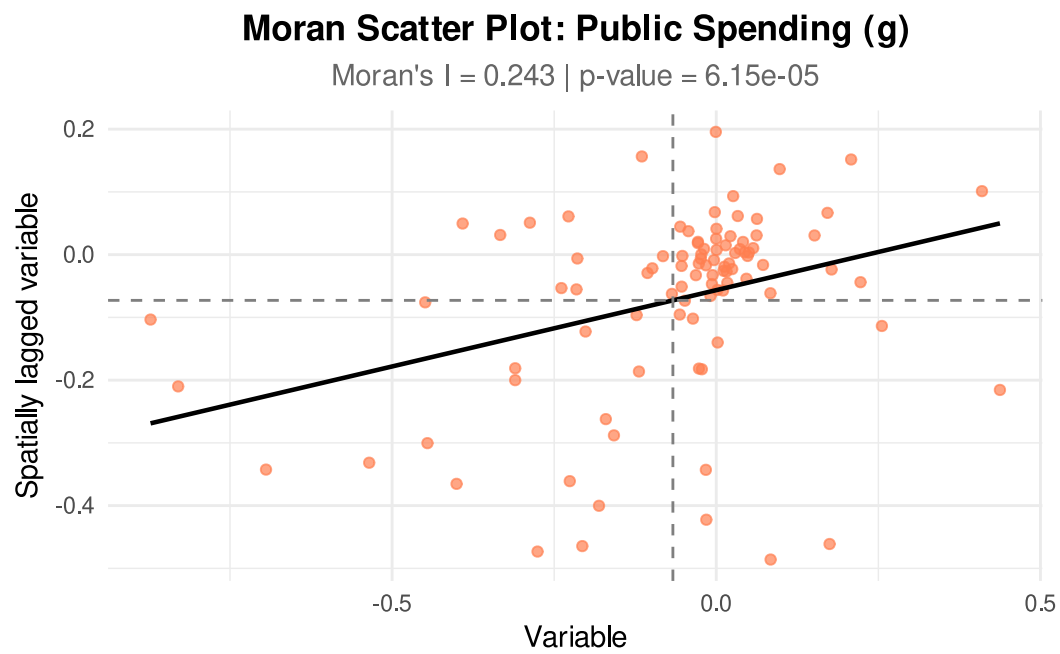
Moran I test under randomisation

```
data: italy_mafia$g
weights: italy_W
```

```
Moran I statistic standard deviate = 3.84, p-value = 6.152e-05
alternative hypothesis: greater
sample estimates:
Moran I statistic      Expectation      Variance
      0.243289905      -0.010638298      0.004372868
```

Scatter plot





Econometric Model

Result

Conclusions

References